

# Profit Niti AI CFO Report

## 1. Big Picture — How the Business Looks Right Now

The business is facing a severe financial crisis with total equity turning negative at -₹408 million in April 2025, down from positive ₹121 million in March. This dramatic decline is driven by massive losses of ₹602 million in April alone, eroding the company's capital base. While sales remain substantial at ₹967 million in April, cost of goods sold has skyrocketed to ₹1,553 million, creating unsustainable negative gross margins of -60.67%. The company's survival is at risk without immediate intervention.

### GREEN FLAG BOX — What's Working Well:

- Strong sales volume maintained at nearly ₹1 billion monthly
- Debt reduction showing progress with secured borrowings decreasing
- Non-current investments remain stable at ₹133 million providing some asset base

### RED FLAG BOX — What Needs Attention:

- ⚠ Catastrophic losses of ₹602 million in April 2025
- ⚠ Negative equity position threatening business continuity
- ⚠ Gross margin collapse to -60.67% indicating severe pricing/cost issues

### CFO Advice:

"Immediate emergency measures are required to address the cost structure and pricing strategy, as the current trajectory is unsustainable and threatens the company's existence."

## 2. Profit Power — The Earning Engine

The profit engine has completely broken down. Gross profit turned disastrously negative at -₹587 million in April 2025, with COGS exceeding sales by 61%. Operating expenses remain relatively controlled at ₹15 million, but this is irrelevant when gross margins are this negative. The operating profit margin collapsed to -62.5% in April, indicating fundamental issues with product pricing, cost control, or both. Year-to-date losses for 2025-2026 stand at a staggering ₹602 million.

### **CFO Advice:**

"Conduct immediate product-level profitability analysis and either increase prices significantly or exit unprofitable product lines to stop the bleeding."

## 3. Cash Flow Quality — Profit vs Real Cash

Cash flow from operations showed a positive ₹548 million in April 2025, primarily due to inventory liquidation (closing stock reduced to zero). However, this positive cash flow is artificial and unsustainable. The company is relying on financing activities, which provided negative ₹535 million in April as equity was eroded by losses. Cash balances remain relatively stable around ₹218 million, but this masks the underlying cash generation problems from core operations.

### **CFO Advice:**

"Focus on generating sustainable operating cash flow rather than one-time inventory liquidation, and prepare for potential cash constraints as financing options diminish."

## 4. Cash Management — Daily Cash Rhythm

The cash conversion cycle shows mixed signals. Accounts receivable days increased to 14 days in April, indicating slower collections. Inventory days dropped to zero as stock was liquidated, which is concerning for future operations. Accounts payable days remain very low at 0.16 days, suggesting the company is paying suppliers too quickly. The current ratio deteriorated to 0.56, indicating potential liquidity issues in meeting short-term obligations.

### **CFO Advice:**

"Extend payment terms with suppliers to improve cash flow and implement stricter credit control to reduce receivables days while maintaining adequate inventory levels."

## 5. Growth Investments — Where Money Is Going

Investment metrics show alarming trends. Return on equity turned massively negative at 1,771% due to equity erosion from losses. Fixed assets are being maintained but not growing, with minor depreciation. The negative net operating assets of ₹284 million indicate that operating liabilities exceed operating assets, a dangerous position. Asset turnover turned negative at -13.63 times, showing severe inefficiency in asset utilization given the massive losses.

### **CFO Advice:**

"Freeze all non-essential capital expenditures immediately and conduct a thorough review of asset utilization to identify underperforming assets for potential divestment."

## □ Final Summary

"This is a business emergency requiring immediate, decisive action on pricing, cost structure, and cash preservation to prevent complete financial collapse."

**Generated by Profit Niti AI - Helping You Work Less, Earn More.**